HdL Companies

CITY OF PASADENA

Applicant Name: CB-3123521291 Fahed Sayegh, Samir Sayegh, Jeremy Thomas, David Abovian

Reviewer: Billie-jo Naysmith

Date: 4/3/19

OVERALL SCORE	Maximum Points	Points Awarded	Percent Score
	1,575	1,177	74.73%

GENERAL COMMENTS
The applicant provided packet that failed to display the ability to run a retail operation in a regulated industry. There was also cultivation verbiage which should not be in the application and grammatical errors. They also mention two people (Roman Ruiz and Rachel Rodriguez) but fail to clarify who they are. The owner(s) also failed to identify their day-to-day roles in the operation. The application failed to identify all owners under the "OwnerInfo" section. The application also classifies cannabis as marijuana and only mentions 'medicinal marijuana' policies and procedures inn the entire application; there is no mention of recreational use. The application mention attachments such as pro forma and proof of capital but no attachments were included.

SECTION 1: QUALIFICATIONS OF OWNERS/ OPERATORS	750	540	72.00%
Experience The application failed to identify all owners under the "OwnerInfo" section. Jeremy Thomas has 11 years of Prop D/ PreICO retail experience. The application listed 5 retail dispensaries he has equity and/or managed; however, I was unable to verify them through the BCC license search. Owner Freddy is an attorney and has spoke at various cannabis events. Applicant failed to provide all licenses numbers or copies of licenses.			
Cannabis Industry Knowledge The application demonstrated knowledge about the cannabis industry from a non-permitted business as it did not reference the state regulations and the Pasadena Municipal Code. Freddy is President of Cannabis Advisory Board and board of directors for The Jet Room Dispensary, he has advised/counsel for numerous cannabis organizations. The application included cultivation verbiage			
Ownership Team The application failed to provide a detailed description of the roles of owners in the day-to-day operations but indicated some job titles.			

SECTION 2: BUSINESS PLAN	525	407	77.52%

Standard Operating Procedures (SOP)

The application provided some Standard Operating Procedures though they lacked detail

Financial Plan

The application failed to provide a pro forma, cash flow, start-up cists, or detailed accounting procedures; though it said weekly cash audit will performed by their accounting team.

Funding/Proof of Capitalization

5895 Washington Blvd Partners has committed initial operating capital of [redacted] for the project which covers all start-up costs and three months' operating costs, with a projected reserve in excess of [redacted] for the project (David Abovian [redacted], Hani Sayegh [redacted])
letter from Jeff Katofsky verifying [redacted] capital contribution from Hani Sayegh.
Please see letter from Wells Fargo Account verifying [redacted] capital contribution from David Abovian

Records Software

The applicant 1st identified Meadow as their designated inventory software; then it also mentions MMJMenu; later is mentions GoSwift tracking software. It is unclear which track and trace software thy will use.
The application failed to provide detail record retention policies.

Track-and-Trace

The application lacked detail to demonstrate familiarity with the track and trace requirements. It was also inconsistent by identifying multiple track and trace software's. It's unclear if they know the state requirements.

State Testing Requirements

The applicant acknowledged that products will be purchased from State licensed cannabis distributors that have met all testing requirements and provided procedures for product intake.

Employee Training

[redacted] training course that covers [redacted]. They must pass a test proving competence in the various methods and dosing of medical marijuana consumption.

Customer Education

The application stated employees will provide customer education along with some product brochures and SEED interactive kiosks for educational purposes.

Marketing

Digital marketing through social media, search engines and websites; Weedmaps and Leafly; Billboards (when permitted); EnlightenTV; and third-party marketing companies.

Community Benefits

Their plan is to drive mechanism in local Educational Awareness Campaigns, Advocacy Efforts to raise funds with and for local charities, provide resources towards youth activity and higher learning and be an overall local support system. They will provide a living wage but failed to give a dollar amount or confirm benefits. They have been working with Weed 4 Warriors program,420 Support Group, and Cannakids. They will also partner with local charities, community centers and foundations to contribute hard marked revenue, raise money for holiday and year-round activities, extend resources for Youth Education and drug education programs but failed to provide a percentage or dollar amount.

SECTION 3: NEIGHBORHOOD COMPATIBILITY & ENHANCEMENT	150	114	76.00%

Exterior Design Concept

They will retain the services of PENTAGRAM for all design concept integration a world renowned design firm. The application failed to provide detail of the architecture, landscape, signage, lighting, and parking as requested.

Design Concept Integration

They will assess the community, the architecture, the surrounding business, will fit very well into the existing and evolving community landscape

Integration of Security Measures

The application stated they will utilize new technology in discrete camera systems including hidden in flood lights, fire alarms and other discrete products. It failed to provide any further detail.

Air Quality/Odor Control

The application indicated incorporating a Max Fan HO 14" (3343 cfm fan), Can 150 Filter 2" carbon bed, and Max 2500 pre-filter (emergency replacements)

SECTION 4: SECURITY PLAN	150	116	77.33%

Security Experience

They will use ADT to install surveillance cameras and alarms, and to maintain the security system.
The application failed to provide a detailed delivery security and safety plan for their deliver drivers.

Background Checks

The application stated they will perform background checks via LiveScan.

Employee Safety Education

The application provided their curriculum for employee safety training education that listed all the required areas except hazards.

Employee Theft Reduction Measures

Staff shall store all personal belongings besides a cell phone in lockers and Management shall be present whenever an employee has access to the lockers. Application failed to provide employee check-in/out procedures.

Cash Management Plan

Application stated they will sweep of all cash from the till in the dispensary room REDACTED; cash drops shall be made multiple times a day to the bank to ensure that no more than REDACTED is on the premises at any time. Said they will accept credit and debit cards.
It failed to mention two step drawer count verification and employee training curriculum.

Product Access Protocols

The application confirmed utilizing a multi-layer access system and employees will be issued access control credentials

Product Deliveries

The applicant provided a sufficient plan

Security Guards

Application stated they will retain and maintain [redacted] from Powerhouse Security Services, generally located at an [redacted], during all hours of operation, and trained. [redacted] on site during all hours of operation and one guard on station 24/7

Video Camera Surveillance

Cameras shall be installed so that every area of the building's interior and exterior can be easily monitored from both the manager's office and the reception desk. The video surveillance specifications failed to meet the state and city requirements. The application also stated only exterior cameras would monitor 24 hours.

Armored Vehicle

The application confirmed daily armored car cash pickups from Powerhouse Security.

COVER LETTER

To The City of Pasadena:

It is with great honor and privilege that we have been given such a great opportunity by the City of Pasadena to apply for a retail dispensary license.

My name is Fahed "Freddy" Sayegh, I along with my brother Samir "Sammy" Sayegh and our partner Jeremy Thomas are applying for one of the retail dispensary license. My father moved to the Pasadena Area in the 1960's and have been a staple in the community for decades. My five siblings and I and all my nephews and nieces are products of Pasadena, we all went to either John Muir High School or Pasadena High School. I have been a cannabis attorney and activist for nearly 15 years. We all own homes and business in the Pasadena and Altadena area, including my law practice.

I have spent my career representing individuals and companies in the cannabis industry. During my career I have advised, consulted and represented over 50 dispensaries in various aspects, but primarily in the building of the facilities, legal compliance, employee training, and implementation of standard operating procedures and unfortunately in criminal or civil proceedings.

I have been qualified as a cannabis expert by the Superior Court of California and have consulted as a third party advisor nearly every type of governmental agency including governors, state legislators, city counsel, the Los Angeles County District Attorney's Office, The Fontana Police Department and have given seminars to private counsel in this field. I was named Top Attorney by Pasadena Magazine starting in 2014 – 2018 for my work in the cannabis and criminal law.

In 2014, I singlehandedly saved the City of Adelanto a city that had only 90 days before it planned on declaring bankruptcy by introducing a novel concept of commercial cultivation. I guided and navigated the City of Adelanto through the process making it the first city in the state to pass a comprehensive ordinance and have flipped the City of Adelanto from near bankruptcy to brining hundreds of millions of dollars in economic development, increased property values over 300 newly formed corporations in the City and 20 new non-cannabis related business.

In addition to developing the program for the City of Adelanto, my brother and are licensed by the City of Adelanto and The State of California for commercial cultivation, manufacturing volatile, manufacturing non-volatile, transpiration and distribution.

Our team comprises of compliance attorneys, renowned marketing experts, in-house security with armored transportation, award winning cultivators, extractors and edible manufacturers.

My brother Samir "Sammy" Sayegh has spent his entire career in retail compliance of some by operating Goodyear Tire and Rubber Company retail locations. These licenses are highly regulated by O.S.H.A., The Environmental Protection Agency, and through the California Contractors Board to which he has spent over two decades in construction. He is also the head designer and builder for all of our licensed retail locations, manufacturing, and cultivation centers. He has consulted approximately 20% of all the applicants in the City of Adelanto in both construction and compliance.

Sammy is a savant when it comes to architectural design and build out. His buildings, business and design are beyond inspirational and award winning quality brining him recognitions by the Cities he worked in, including STI Motorsports, Howling Juice, Attire Clothing, Lice Center of America, Crown Dispensary and many other incredible businesses.

We welcome you to contact former Mayor of Adelanto Rich Kerr at 760-559-5859 and current City Planner Jesee Flores of the City of Adelanto for references 760-954-4521.

In 2015 we partnered with Jeremy Thomas who is also a license holder in Adelanto for cultivation and manufacturing. Mr. Thomas is the managing partner at Phloem Management whose dispensary management skills and operation experience is second to none in the entire country. Mr. Thomas brings a wealth of experience in management, operations, staffing compliance, marketing and human resources Mr. Thomas's dispensaries The Pottery, Strain, Delta 9 and those he has consulted for Apothecary and Cannasutra are considered some of the most prestigious and highest grossing locations in throughout Los Angeles City. Mr. Thomas, my brother and I are currently in construction for a new flagship location in Van Nuys entitled Crown Dispensary.

The City will not find any other operators with such ties to the community, such in depth experience and industry knowledge, all of whom are currently B.C.C. licensed, experiences business men in highly regulated industries, that have in depth branding, marketing and construction experience and operator who have never had a code violation or have failed to pay cannabis retail taxes completely and timely.

Our team welcomes this City of Pasadena to visit anyone of the operational dispensaries listed, the current construction site or any of our cultivation and manufacturing facilities in Adelanto California.

It is with great honor and pride that we submit this application for consideration.

Freddy Sayegh, Sammy Sayegh and Jeremy Thomas

Applicant/Owner Information Form*

Commercial Cannabis Screening Application

**Portions of the information disclosed in this application is public information pursuant to the California Public Records Act.*

www.cityofpasadena.net/marijuana-regulations

INSTRUCTIONS: Complete the pertinent sections for each owner, applicant, entity owner and non-owner with financial interest in the business. A separate form is required for each individual.

Type:
- ☐ Entity Owner (Complete Sections A and E)
- ☒ Owner (Complete Sections B, C, D and E)
- ☒ Applicant (Complete Sections B, C, D and E)
- ☐ Non-owner with financial interest (Complete Sections B and E)

SECTION A: ENTITY OWNERSHIP INFORMATION

An entity is anything other than an individual. If an entity is an owner of the commercial cannabis business pursuant to Business and Professions Code section 26001(al), you will need to complete the following information. Attach additional pages if needed.

Name of Entity: _____ Phone Number: _____

Ownership %: _____ Organizational Structure: _____ Email: _____

Authorized Agent: _____ Title: _____

List entity members below (attach additional sheets if necessary):

Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____
Name: _____ Title: _____

SECTION B: OWNER/NON-OWNER/APPLICANT INFORMATION

Pursuant to 16 CCR § 5023, an owner is defined as a person with an aggregate ownership interest of 20% or more, chief executive officer, member of the board of directors of a nonprofit, or an individual participating in the direction, control, or management of the applicant. All business owners must be listed, including the applicant.

Full Name: SAYEGH, FAHED Date of birth: REDACTED
Last *First* *M.I.*

Mailing Address: [redacted]
Street Address *Apartment/Unit #*

[redacted] [redacted] [redacted]
City *State* *ZIP Code*

Phone: 310-877-5033 Email: FREDDY@THEFOXXFIRM.COM

Ownership % 33.333% Title: CHIEF COMPLIANCE OFFICER

Social Security No. REDACTED Current Employer: GREEN HOLDINGS GROUP/THE FOXX FIRM

SECTION C: DECLARATIONS

	YES	NO
1. Do you have an ownership or financial interest (as defined in Title 16 CCR 5003 and 5004) in a licensed cannabis business? If "yes", complete section C-1.	☒	☐
2. Have you ever been denied a permit or state license to engage in commercial cannabis activity, or had a permit or state license to engage in commercial cannabis activity suspended and not reinstated, or revoked, by any city, county, city and county, or any other state cannabis licensing authority? If "yes", complete section C-2. *(PMC §5.78.100)*	☐	☒
3. Have you ever been convicted of a crime? If "yes", complete section C-3. *(~~HSC~~ BPC §26057)*	☐	☒
4. Have you owned or operated any cannabis-related business(es) in the City of Pasadena on or after December 14, 2017? If "yes", complete section C-4. *(PMC §5.78.100)*	☐	☒
5. Have you ever been notified that you were conducting commercial cannabis activity in non-compliance with City of Pasadena ordinances, codes, and requirements and failed to discontinue operating in a timely manner? *(PMC §5.78.100)*	☐	☒
6. Have you ever failed to pay federal, state, or local taxes and/or fees when notified by the appropriate agencies? *(PMC §5.78.100)*	☐	☒

Section C-1: Other Licensed Cannabis Businesses

Use additional sheets if necessary.

Agency: BUREAU OF CANNABIS CONTROL License No. CDPH-T00000299 Date Issued: 10-30-2018
Description of business: CANNABIS MANUFACTURING

Agency: BUREAU OF CANNABIS CONTROL License No. M11-180000102 Date Issued: 1-12-18
Description of business: CANNABIS DISTRIBUTION/TRANSPORTATION

Agency: BUREAU OF CANNABIS CONTROL License No. TML01-0000762 Date Issued: 10-30-2018
Description of business: CANNABIS CULTIVATION

Section C-2: Cannabis License(s) Suspended, Revoked or Denied

Use additional sheets if necessary.

License Authority : _____ License Type _____ Suspension or Revocation Date: _____

Details: _____

License Authority : _____ License Type _____ Suspension or Revocation Date: _____

Details: _____

License Authority : _____ License Type _____ Suspension or Revocation Date: _____

Details: _____

Section C-3: Criminal Violation(s)

Use additional sheets if necessary.

Date of Conviction: _____ Code Section: _____ Felony or Misdemeanor? _____
Date of incarceration: _____ Date of Probation _____ Date of Parole: _____

Details: _____

Date of Conviction: _____ Code Section: _____ Felony or Misdemeanor? _____
Date of incarceration: _____ Date of Probation: _____ Date of Parole: _____

Details: _____

Date of Conviction: _____ Code Section: _____ Felony or Misdemeanor? _____
Date of incarceration: _____ Date of Probation _____ Date of Parole: _____

Details: _____

Section C-4: Commercial Cannabis Operations in the City of Pasadena

Use additional sheets if necessary.

Business Name: _____ Business Address: _____
Dates of Operation: _____ Title: _____

Business Name: _____ Business Address: _____
Dates of Operation: _____ Title: _____

Business Name: _____ Business Address: _____
Dates of Operation: _____ Title: _____

SECTION D: REQUIRED DOCUMENTS

☒ Copy of a currently valid government-issued identification

SECTION E: AFFIRMATION & CONSENT

Under penalty of perjury, I hereby declare that the information contained within and submitted with the application is complete, true and accurate. I understand that misrepresentation of fact is cause for rejection of this screening application, denial of a license, or revocation of a license issued.

Verified by PDFfiller
01/31/2019

Signature: /Fahed Sayegh/ Date: 01/31/2019

Printed Name: FAHED SAYEGH

APPLICATION FOR RETAIL DISPENSARY LICENSE
FOR THE

CITY OF PASADENA

BY

Phloem MANAGEMENT

GREEN HOLDINGS GROUP

SECTION 1: QUALIFICATIONS OF OWNERS/OPERATORS

Experience, Cannabis Industry Knowledge, Ownership Team

EXPERIENCE:

PHLOEM MANAGEMENT

JEREMY THOMAS [redacted]. 213-453-1597

Mr. Thomas is an equity and managing partner and will be the fulltime on-site manager for the Pasadena dispensary if approved, has 11years experience operating multiple Proposition D (Pre-Interim Control Ordinance) retail dispensaries in the City of Los Angeles. He is part of the most sought after management team in the state, Phloem Management. In 2018 the retail establishments managed by Phloem Management totaled [redacted] in gross sales. Jeremy Thomas has substantial experience in city licensed retail dispensaries and cultivation. He began indoor cultivation in 2003. Jeremy is a student of George Van Patten ("Gardening Indoors") and "Ask Ed" a publication of letters and troubleshooting questions from Ed Rosenthal. Mr. Thomas, in 2004, began outdoor growing in Santa Cruz. While continuing to cultivate indoors, Jeremy began to work with the City go Los Angeles Department of Parks and Recreation, also learning the ins and outs of Department of Water Power Los Angeles. Jeremy has built and operated multiple retail dispensaries over the past 10 years while operating within the City of Los Angeles in managing maintenance operations of the park system. Mr. Thomas is now full time in the cannabis industry. Currently, he assists in operating four Pre-ICO dispensaries in Los Angeles and consults on various management and cultivation practices. All of the dispensaries under Phloem Management have all been issued permanent retail licenses by the Bureau of Cannabis Control ('BCC") and are permitted and have maintained good standing without ever any tax liabilities, labor law violations or other violations, all under the direction and control of Jeremy Thomas and Phloem Management.

JEREMY THOMAS has managed and is an equity partner in the following retail locations including:

THE POTTERY

EARTH GROWN GOODS

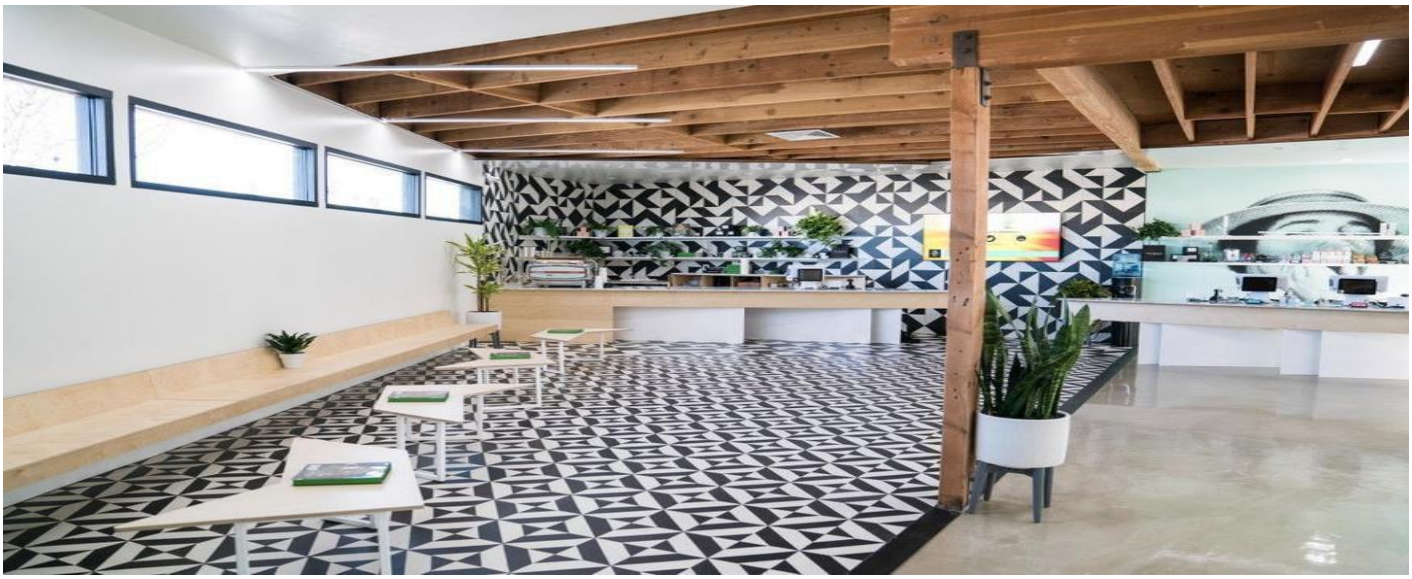
THE POTTERY DISPENSARY

5042 Venice Boulevard

Los Angeles, California 90019

www.thepottery.la

https://www.youtube.com/watch?v=biAPzd6EftI



CROWN DISPENSARY

CROWN DISPENSARY

6710 Van Nuys Boulevard

Van Nuys, California 91405







STRAIN BALBOA CAREGIVERS:

21627 Devonshire Street

Chatsworth, California 91311

www.straincares.com

JEREMY THOMAS and PHLOEM MANAGEMENT have consulted and managed the following licensed retail establishments:

CANNASUTRA

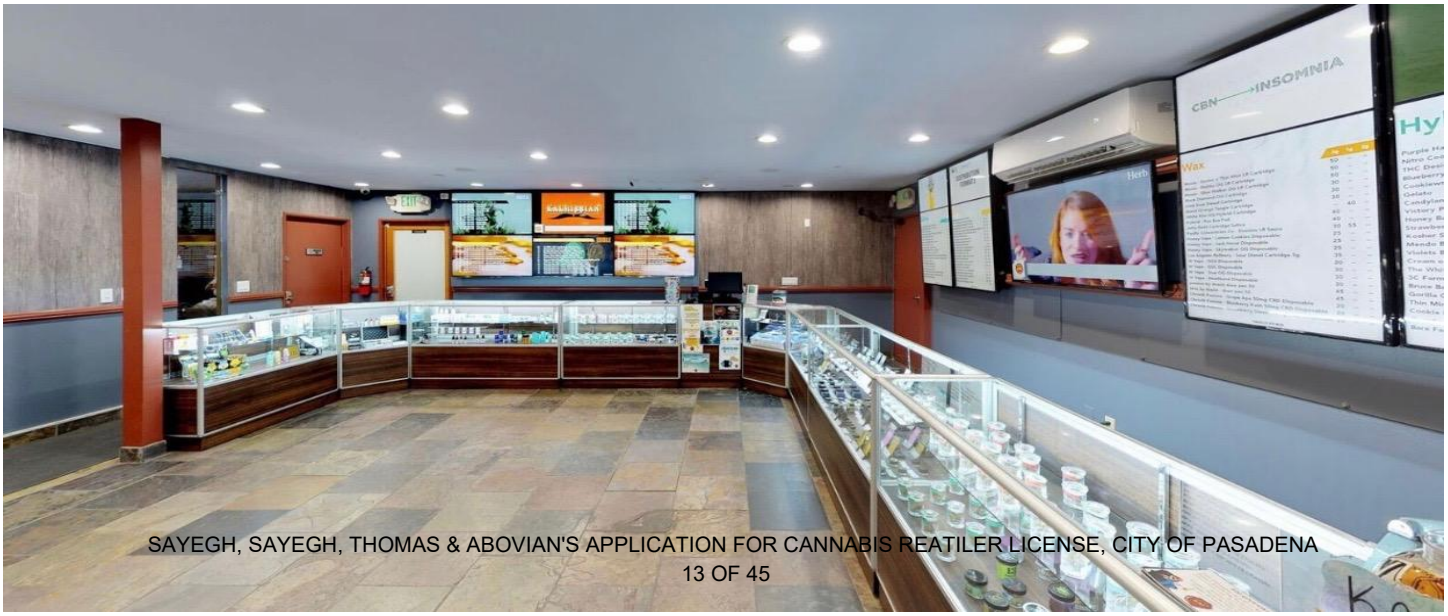
11101 Ventura Boulevard

Studio City, California 91604

APOTHECARY 420

15374 Dickens Street

Sherman Oaks, California 91403



GREEN HOLDINGS GROUP

Green Holdings Group, Inc. is brand management and holding company whose duties and responsibilities are for all the facets of design, placement, marketing, advertising, product packaging, and distribution that foster an identifying and developing brand personality in addition to securing all intellectual property rights, securing licensing agreements, brand ambassadors, strategic marketing, product placement, special events, talent management, developing of strategic partnerships, coordinating with outside marketing companies, manage in-house or third party designers, product launch, co-marketing programs, 3rd party branding, launch events, unique and seasonal promotions.

FREDDY SAYEGH – Chief Executive Officer of Green Holdings Group/Owner Applicant

407 East Woodbury, Altadena CA 91001

310-877-5033

www.thefoxxfirm.com . www.greenholdingsgroup.com

EDUCATION

Whittier Law School, Costa Mesa, CA
Jurist Doctorates **2003**

Whittier Law School, Costa Mesa, CA
Intellectual Property Certification **2003**

Connecticut State University **1999**
Bachelor of Science
Justice and Law Administration

AWARDS

Dope Magazine
Activist of the Year **2017**

Pasadena Magazine
Top Medical Marijuana Attorney for the State of California **2016**

Pasadena Magazine
Top Medical Marijuana Attorney for the State of California **2015**

Pasadena Magazine
Top Criminal Defense Attorney for the State of California **2014**

American Lawyer Media **2013**
Top Lawyer – California

GUEST SPEAKER

Infused Expo **2017**
Casa Vertigo
[Medical Cannabis Adult Use and Safety Act-Edibles/Manufacturing Regulations for CA]

Highlife Music Festival **2017**
National Orange Show
[Intellectual Property Rights in Cannabis]

Southeastern Cannabis Conference
Fort Lauderdale Convention Center **5/8/2017**
[Cannabis Start Ups]

HempCon
Cow Palace San Francisco **7/5/2017**
[State of California Cannabis]

Hollywood Hemp Museum **07/21/2017**
[Historical Implications of Cannabis Prohibition]

HempCon
Sonoma County Fair Grounds **2/20/2017**
[Medical Cannabis Regulation and Safety Act]

HempCon
Cow Palace San Francisco **10/8/2016**
[Proposition 64]

XO Gold Cup **10/04/15**
NOS Convention Center, San Bernardino
[Medical Marijuana Regulation and Safety Act]

United We Stand Festival
University California Los Angeles
[The Politics of Marijuana] **5/10/14**

National Marijuana Business Conference
Emerald Downs Convention Center, Seattle Washington **1/1/2013**
[The Politics behind California's Multi-Billion Dollar Hemp Industry]

HempCon
Los Angeles Convention Center **4/20/2014**
[California's Implementation of Legalization]

HempCon
San Jose Convention Center **1/14/2014**
[Key Note Speaker]

HempCon
Los Angeles Convention Center **5/102013**
[Key Note Speaker]

HempCon
San Jose Convention Center **9/14/2013**
[Key Note Speaker]

HempCon
NOS Convention Center, San Bernardino
[Guest Speaker [How to Start a Dispensary] **1/1/2013**

Kush Expo
Orange County Convention Center **1/1/2012**
Guest Speaker [Dispensary Legal Compliance]

HempCon
Los Angeles Convention Center **1/1/2010**
Guest Speaker [Dispensary 101 – Standard Operating Procedures]

We the People Festival
State Historic Park, Los Angeles **1/1/2009**
Guest Speaker [4th Amendment]

LECTURER

420 College **2014**
Pasadena, California
Discussion of Landmark Cases in Cannabis

Cannabis Career Institute **2013**
Los Angeles California
Cannabis Career Certification Program

Medical Cannabis Caregivers Institute
Pasadena, California **2011**
MCC 122- How to Start a Collective under California Medical marijuana Program Act

PUBLICATIONS AND PAPERS

California Cultivation Defense Manual
Created an Entire Defense Manual for Cultivators for California **2008**

Creating Independent Record Labels for Artists
Los Angeles County Bar Association Magazine **2010**

RELATED EXPERIENCE

Green Holdings Group
Chief Executive Officer

MJRx
Executive Vice President
Mergers, acquisitions, branding, and operations and board of directors for The Jet Room Dispensary

Cannabis Advisory Board
President of Cannabis Advisory Board a group of professionals from a cross-range of professions, fields, backgrounds, and experiences that are focused in the medical cannabis industry. A broad base of experts will be assigned to different projects based upon the needs of each projects. The board consists of doctors, attorneys, entrepreneurs, scientists, engineers, cultivators, lobbyists, and other professionals

Ky-Mani Marley
Developing licensing agreement to develop, brand, market and distribute a new branded strain with son of Bob Marley

Adelanto Research Technologies
Chief Executive Officer of the largest fully licensed cultivation, research and manufacturing facility in CA.

Caviar Gold
General Counsel and branding advisor for one of the largest brands in the United States.

Abracadabra LLC
Joint Venture, serving as legal counsel for a new branded strain with DJ Pooh, Snoop Dog and Dr. Dre attached to the feature film release in November of 2016 entitled the grow house.

Atlas Media Group
Development deal for production of marijuana television series with of the preeminent television production companies as a host, attorney, business developer and guide for the marijuana industry for CNBC.

Madzilla, LLC.
General Counsel and partner for cannabis and lifestyle personality, marketing, modeling, and brand development.

CBDX, INC.
General counsel and distribution manager for commercial production of premium grade CBD

Nevada Investment Group
Consultant for multi-million dollar investment group in Nevada regarding Senate Bill 374, build out of all dispensaries, grow operations, edibles, delivery, and marketing.

MedBox
In House Counsel **2011 – [End Date]**
Company that patented a system that dispenses medical marijuana to patients through biometric identification.

Hempcon
General Counsel/Executive Producer **2013**
Counsel and represent company for all legal issues, help in production and development of the largest medical marijuana convention in the world.

United Cannabis Workers Union
General Counsel **2013 – Present**
Representation for Union Workers, Legal defense, Compliance

Chronic Candy
General Counsel **2010 – Present**
Counsel and Represent Business Operations, Marketing and Distribution

Honey Pot
General Counsel **2010 – Present**
Counsel and busies operations in product development, distribution, marketing and legal compliance.

Med Men
General Counsel **2010**
Assist management with set up, build out, and compliance with grow operations.

California Connoisseurs
General Counsel **2012**
Counsel and Represent Client on all facets of Dispensary Operations

Winn Health Solutions
General Counsel **2011**
Counsel and Represent Client on all facets of Dispensary Operations

Delano Collective
General Counsel **2010**
Counsel and Represent Client on all facets of Dispensary Operations

Blathnat of California - Collective Conscious **2013**
General Counsel

Blue Moon Collective
General Counsel **2010**
Counsel and Represent Client on all facets of Dispensary Operations

Venice Green Door
General Counsel **2007**
Counsel and Represent Client on all facets of Dispensary Operations

40 Cap Collective
General Counsel **2009**
Counsel and Represent Client on all facets of Dispensary Operations

Cali-Fresh Infusions
General Counsel **2013**
Counsel and Represent Client on all facets of Dispensary Operations

So-Cal's Choice
General Counsel **2012**
Counsel and Represent Client on all facets of Dispensary Operations

Kush Valley
General Counsel **2014**
Counsel and Represent Client on all facets of Dispensary Operations

Santa Ana Patients Care **2013**
General Counsel and Represent Client on all facets of Dispensary Operations

FREDDY SAYEGH CANNABIS RELATED MEDIA COVERAGE

https://merryjane.com/news/is-marijuana-saving-small-towns

http://www.ocregister.com/2016/02/15/prison-town-goes-to-pot-desert-city-adelanto-hopes-cultivating-marijuana-will-save-it/

https://www.cnbc.com/2016/04/14/a-push-to-create-the-next-great-american-marijuana-town.html

http://www.laweekly.com/news/will-the-marijuana-industry-save-the-struggling-town-of-adelanto-8118626

https://www.kcet.org/shows/artbound/gone-to-pot-adelantos-green-land-rush

https://www.newcannabisventures.com/massive-california-cannabis-cultivation-project-launched-in-adelanto/

http://www.mintpressnews.com/california-town-ditches-prison-economy-embraces-cannabis-farms/214135/

https://finance.yahoo.com/news/next-great-american-pot-town-174158250.html

https://www.theguardian.com/us-news/2016/oct/07/marijuana-prison-damian-marley-california

http://www.nbcnews.com/business/business-news/california-town-wants-be-next-marijuana-mecca-n556656

http://www.sacbee.com/news/state/california/california-weed/article65713847.html

http://www.pe.com/2016/02/22/adelanto-high-desert-city-hopes-cultivating-marijuana-will-save-it/

http://www.nbclosangeles.com/news/local/Hempcon-Medical-Marijuana-Convention-Downtown-Los-Angeles-2013-208902451.html

http://exactrelease.com/celebrity-defense-attorney-fre-link-566228.html

http://activate.metroactive.com/2014/01/hempcon-medical-marijuana-convention-looks-toward-legalization/

http://www.dailynews.com/ci_23374393/cities-crack-down-medical-marijuana-shops-court-decision

https://www.greenpassion.org/index.php?/topic/28808-california-mmj-lawyers/

http://www.cannabisculture.com/content/2013/05/24/HempCon-Medical-Marijuana-Convention-Kicks-LA

http://mmjbusinessdaily.com/2013/06/27/chaotic-cannabis-business-conditions-in-california-but-some-players-manage-to-thrive-and-adapt/

http://news.nuggetry.com/southern-california-marijuana/hempcon-to-be-held-in-la-this-weekend/

http://www.sfstation.com/2013/04/15/san-jose-hempcon-420/

http://www.california.com/news-pot-advocates-arrive-for-medical-marijuana-confab.html

http://www.unitedcannabisworkers.org/?page_id=269

http://www.dailynews.com/news/ci_18768448

http://www.mercurynews.com/california/ci_23374393/cities-crack-down-medical-marijuana-shops-court-decision

http://hemp.org/news/category/cannabis/freddy-sayegh

THE JET ROOM

17499 Adelanto Road

Adelanto, California 92301

In 2017 – 2018 , Fahed 'Freddy' Sayegh and Samir 'Sammy' Sayegh was instrumental in the build out, design, staffing, marketing and branding of the first state licensed facility in San Bernardino County.





SAMIR "SAMMY" SAYEGH. Equity Owner
310-895-4838
REDACTED

Sammy Sayegh is a highly successful and talented business professional with a diverse background as a founder and chief executive of numerous businesses, as well as a long-term consultant to senior management in fortune 500 companies. Mr. Sayegh, known as "the Fixer", is a creative and energetic leader who will confidently face any challenge. He has deep experience related to medical marijuana, being engaged in a variety of formulation & analysis services spanning product development, testing and comparing competing products, performance stability, quality control.

Sammy is part of a scientific hub of cannabis-related businesses which include research & development activities supporting medical marijuana and cannabidiol (CBD) product uses, as well as the driving force behind cannabis research into strains, genetics and extraction capabilities. Sammy specializes in reducing the size of the carbon footprint most cannabis companies leave behind. Mr. Sayegh is also a talented builder and real estate developer, experience he applies frequently advising local governments and businesses regarding cannabis related commercial development.

Work Experience

California Biotechnology Company Inc., *Founder, May 2014 — Present*
- Strategic Operations/Compliance
- Business Development
- Production and Supply Chain Management

Koala Green Development Inc., *President, January 2008 — Present*
- Strategic Operations/Compliance
- Business Development
- Production and Supply Chain Management

Green Holdings Group *President, January 2015 — Present*
- Marketing, branding, sales and supply chain management to the California Cannabis Market

Sayegh Tire Inc., *President, October 1983 — Present*
- Owner Operator (President, CFO, CEO, Manager)
- Sales and Service
- Accounting

Sti Motorsports Inc., *CEO, February 2001 — Present*
- Full Operations
- Purchasing
- Sales and Service
- Accounting/ Payroll

Universal Tire Inc., *President, January 1991 — December 2004*
- Owner Operator
- Sales and Service
- Marketing and Advertising

Used Tires Express, *CEO, November 2010 — Present*
- President, CFO, CEO, Manager
- Sales and Service
- Record Keeping /Taxes

Consultant & Adviser To The President, Goodyear Tire & Rubber Company
January 1999 — December 2003

- Analysis Services Spanning Product Development, Testing and Comparing Competing Products, Performance Stability, Quality Control.

- Competitive Analysis, Market Intelligence, Positioning Strategies, Global Marketing, Niche Marketing, Marketing Communications, Public Relations, Public Speaking, Sales Support, Marketing Network.

- Rapid business start-up to fully functioning profit fund/exhibition in less than six months by formulating and directing all aspects of marketing and public relations, programming.

- Research & Development Activities Supporting Medical Marijuana and Cannabidiol (CBD) Product Uses.

- Repositioning and developing projects in established and emerging urban areas, with maximum equity in a single transaction.

- Strong leader and communicator who collaborates seamlessly across functions. Ability to build a best-in-class marketing team for the brand that thrives on operating in a fast-paced environment

Projects

- Plus Products Facility
    - Adelanto, CA 2016
- Koala Green Development
    - Adelanto, CA 2015
- Pottery
    - Los Angeles, CA 2018
- Crown Dispensaries
    - Van Nuys, CA 2019
    - Chatsworth, CA 2013
- The Marijuana Factory
    - Chatsworth, CA 2017
- Detox by Dr. Dre
    - Van Nuys, CA 2015

Responsible License Holder

- Plus Products
- JK Square Inc.
- CA Bio Technology Center
- Cal Track Inc.
- Koala Green Development Inc.
- BMG Inc.
- HDC Inc.
- ePOD Inc.
- It's In The Bag Inc.

Awards

- Goodyear Tire &Rubber Company Top Dog Sales and Service Award
  1985,1987,1989,1992,1994,1997,1999,2001,2003,2007,2008
  Top Sales And Service In The Automotive Industry

- The Great Think Tank Award
  2008
  Award Given Buy The United State Navy By Admiral Michael Mullen

- City Of Culver Pioneer Of The City Award
  2003

- East Culver City Developer Award
  1994

Affiliations

- Adelanto Growers Association
- City of Culver City Economics Advisory Board
- California Code and Ethics Bail Bondsmen Association
- Automotive Industry Standards Excellence
- Specialty Equipment Market Association
- Mentoring –
    - Pasadena Unified School District
      Young Business Mentoring, After-School Life Readiness Program.
    - Culver City After School Enrichment Program
      Teaching Young Men and Woman How to Enter the Work Force

SECTION 2: BUSINESS PLAN

SUB-SECTION 2A: OPERATIONS

STANDARD OPERATING PROCEDURES

Necessary modifications require two walls to be built and the installation of two safes and eight lockers. Require one licensed contractor and to more than one construction permit. Time frame for completion: 2 weeks.

Applicant daily hours of operation: 9am to 8PM. Security and management shall arrive one hour before (at 8am) and remain until no longer than one hour after closing (by 9PM). 8:00am to 8:30 the opening manager shall take and record inventory of all cash and product on the premises. Opening manager opens the safe to remove marijuana and marijuana products for sample and sale in the dispensary room. At 8:30am two staff members arrive to begin stocking the dispensary room. At 8:45 two more staff members arrive, one to open the reception area and one to assist with opening the dispensary room.

During hours of operation: REDACTED Reception staff member and anyone in the office shall be able to view all areas of the premises on camera at all times. Three staff members shall remain in dispensary room for sales with patients; one patient shall be admitted into the dispensary room per customer. The manager shall float between all areas of the dispensary to ensure the smooth running of operations.

Reception: a staff member shall man the reception desk at all hours of business operations. Managers may cover breaks when there is more than one manager present. Reception shall monitor and record the identity of each person granted admittance into the dispensary room as well as the time and date of admittance. Reception shall notify the dispensary room staff of each incoming person or patient. New patients shall only be admitted into the dispensary room when there is a staff member available for assistance. The reception staff shall monitor the lobby area which shall contain a visibly designated section strictly for non-patient guests, a desk for the armed security guard, and a waiting area for patients and caregivers

awaiting admittance into the dispensary room. Once a customer exits the dispensary room the reception staff and security guard shall take responsibility for monitoring each customer's timely exit from the premises.

Dispensary room: The dispensary room staff shall stay in communication with the reception desk to notify reception when each staff member becomes available to assist with a new patient. One staff member shall be assigned responsibility for the transaction(s) of each patient. If other staff members assist in the recommendation(s) the assigned staff member shall be the one responsible for making sure that the order amount(s) are accurate in the computer and accurately measured for sale. A sale shall be considered complete and the assisting staff member ready to assist the next customer once the previous customer has exited the dispensary room.

Office: only management shall have access to the office with the exception of employees accompanied by a manager to access the lockers or a contractor(s) being provided access to complete work.

Closing procedures: After the last customer has left and the store front is locked down, the lead manager is responsible for returning all showcase items to the warehouse and taking an inventory of all product. Each day before Applicant opens to the public the opening lead manager will inventory all stock before moving any product to the sales room.

Assigned staff shall be responsible for monitoring the data from both the projected inventory, derived solely from sales numbers, and the actual inventory present in the store. These statistics will be recorded on a weekly basis (every Sunday night) and any discrepancies will reviewed by Roman by the end of the following day (Monday). This process will provide vigilant auditing of the store's performance in maintaining accurate records and enables the store to know if changes to product supply have been accounted for in sales. Employees shall be made aware of the intense scrutiny of product inventory to emphasize to the staff just how important accurate numbers and measurements are to the functioning of the Applicant. All of the above measures will ensure the most accurate inventory possible, which in turn makes for tidy bookkeeping and a formidable theft deterrent.

Contents of dispensary room: glass showcases to present products and prices. Products may be requested for inspection by patients one at a time.

The dispensary room shall show five categories of products:

All products not in the sales room shall be warehoused in a locked room only accessible to personnel consisting of the management staff. One lead manager per shift will have authorization to access the warehouse. This lead manager is responsible for restocking product as it runs low and keeping detailed records of what product(s) and how many (much) are removed.

Marijuana infused edibles (edibles): includes baked goods, candy, drinks, and other types of food infused with medical cannabis for consumption. Edible products shall contain items specifically infused with varying types of cannabis (sativa, indica, or hybrid) and, whenever possible, shall list the specific strain of marijuana used for infusion. Sold per unit or package.

Marijuana infused products for topical application (topicals): lotions, gels, ointments, etc… infused with medical marijuana for topical application to the skin. Topicals will come in a range of THC and CBD levels and are useful remedies for localized pain relief, muscle soreness, tension and inflammation. Sold per unit.

Dried marijuana buds for smoking (flowers): flowers are classified as either indica, sativa, or a hybrid of both indica and sativa strains. All medical marijuana flowers shall be listed by their specific strain(s) i.e., Sour Diesel, Blue Dream, LA Kush, Master OG etc. Sold by weight in ounces or grams. Flowers are consumed by smoking.

Extracted marijuana oil (concentrates): Oils extracted in various methods make up the concentrates. Some concentrates are packaged to be portioned into doses by the patient and may be smoked through an appropriate apparatus as needed and some concentrates are packaged into cartridges that may be smoked through a vaporizer or vape pen.

Paraphernalia: items and tools used for smoking marijuana products. Applicant shall carry vaporizers (vape pens), pipes, and rolling papers and rollers. Applicant shall stock adequate paraphernalia so that patients may purchase the necessary equipment to consume their medical marijuana upon reaching an appropriate location.
All staff who work in the dispensary room shall be familiar with the uses and effects of each type of medical marijuana that is stocked. Sales staff shall be familiar enough with dosages and types of marijuana to make recommendations to patients as to the most suitable medication for his or her needs. Before working in the dispensary room every Applicant staff member shall complete a rigorous training course and pass a test proving competence in the various methods and dosing of medical marijuana consumption. Dispensary room staff shall understand the general tendencies of sativa and indica, but also the possibility of strains acting outside of these standards, especially with hybrids. Staff shall be educated on each particular flower strain carried by Applicant and Applicant shall maintain a record of employee and patient reactions to the specific medical marijuana products the business carries to further educate patients about potential effects.

Prop 64 customers shall provide a valid state issued California identification proving that they are 21 and over.

Medical patients as defined under state law may be 18 and over.

First Time Patients (FTPs): First time patients must present the following: a valid (not expired) state issued photo identification (photo and description must match the person present) with a birth date that demonstrates the patient to be over eighteen (18) years of age; and a doctor's recommendation (the actual written letter, not ID card) for the patient to use medical marijuana from a doctor licensed to grant such recommendations. All patient descriptions from the doctor's recommendation and state-issued photo-identification must match.

Applicant reception staff shall record the following: patient's full name, state-issued ID number, birth date, date of visit, recommending doctor, ID number of recommendation, and date of recommendation expiration. Reception staff shall verify online that the doctor's recommendation for medical marijuana is valid before confirming the patient as qualified.

Returning patients: shall bring their state issued photo identification to the reception desk for confirmation of Qualified Patient status. Reception staff shall verify that patient has a valid doctor's recommendation for medical marijuana on file and that the identification matches the person present before returning the identification and admitting the patient into the dispensary room.

All medical marijuana and medical marijuana product intended for disposal shall be made unusable and unrecognizable prior to removal from the business and in compliance with all applicable laws. All medical marijuana and medical marijuana products shall be disposed of within ten (10) days of the date of expiration. Any medical marijuana product that is returned, compromised, unusable, or unsellable for any other reason shall be disposed of within ten (10) days of having been deemed as such pursuant to the regulations provided by the Bureau of Cannabis Control

All production, distribution, possession, storage, sales, or other display of marijuana shall be within an enclosed area of the dispensary and shall not be visible from the exterior of the business.

Applicant shall obtain a signature of acknowledgement from each new customer as to the prohibition of the consumption (including smoked, eaten, applied topically, or otherwise) of any marijuana or marijuana products in the store or anywhere on the premises. Conspicuous signage posted on exit doors will remind returning customers of this policy as they leave. All sales of marijuana and marijuana product shall take place inside of applicant's retail room.

Applicant shall install odor-absorbing ventilation and exhaust system to ensure that odor generated inside the premises is not detected outside the premises. Windows, roof hatches, and any others means of entry excepting the main entrance shall be secured so as to prevent unauthorized entry. All Sacred Vibes staff, customers, vendors, and any other person to frequent the premises shall enter the business through the front, main entrance. Emergency exits shall be secured against entry from the outside and armed with alarms set to go off immediately when opened.

FINANCIAL PLAN

Pro forma - 5895 Washington Blvd Partners has prepared the attached three-year pro forma of revenue and expenses, including expenses for construction, operations, maintenance, employee compensation, equipment, and utilities. Please see attached pro forma.

FUNDING/PROOF OF CAPITALIZATION:

Applicant's Pro Forma & Proof of Funds for Initial Capitalization
Initial Capitalization - 5895 Washington Blvd Partners has committed initial operating capital of REDACTED for the project which covers all start-up costs and three months' operating costs, with a projected reserve in excess of REDACTED for the project. Please note that the required capitalization is in the form of initial capital contributions from 5895 Washington Blvd Partners, LLC Members David Abovian and Hani Sayegh in the total amount of REDACTED. The Balance Sheet prepared by Zipperstein & Zipperstein showing all company assets and liabilities as of 8/31/18 appears immediately below. Please see attached Balance Sheet certified by Zipperstein & Zipperstein showing all company assets and liabilities as of 8/31/18.

Proof of Capitalization - 5895 Washington Blvd Partners initial capitalization is in the form of capital contributions by the following members of 5895 Washington Blvd Partners, LLC:

David Abovian REDACTED

Hani Sayegh REDACTED

Please see letter from Jeff Katofsky -verifying REDACTED capital contribution from Hani Sayegh.
Please see letter from Wells Fargo Account -verifying REDACTED capital contribution from David Abovian

RECORDS SOFTWARE

Electronic Record Keeping - Meadow is the Point of Sale software we will use that integrates with the state mandated METRC database. Our electronic record keeping procedures consist of daily uploads to the state METRC database in order to monitor sales and a weekly inventory reconcile upload to ensure non-diversion of cannabis products from the store. All sales reports are exported in an XL format for accounting and audit purposes.

Every manifest of cannabis products will be received with a UID which is the unique identifier tracked in the track and trace system. Our software imports the UID and creates an internal invoice that is stored in the system. All records, purchases and invoices are all recorded in the Quickbooks software, along with sales reports, overhead expenses and related, in order to generate a true profit and loss for the business. Our general ledger will be broken down for cash and charge so that we may track the daily amount of cash that is transacted in the store along with a weekly cash audit that is performed by our accounting team.

METRC TRACK AND TRACE PROGRAM

Register and Complete CCTT Account Manager New Business System Training:

The designated account manager for your organization must register for the CCTT Account Manager New Business System Training. Once the required training has been completed and an annual license has been issued, the designated account manager will be credentialed to access the CCTT-Metrc system. All annual licensees are required to use the CCTT-Metrc system.

Request Plant and/or Package UID Tags (UID Tags):

After being credentialed to access the CCTT-Metrc system, the designated account manager will use the CCTT-Metrc system to request UID tags. Franwell, Inc., the CCTT-Metrc software developer, will provide and distribute UID tags. The cost of all UID tags is included in the annual license fees paid to the respective licensing authority.

Document Physical Receipt of Requested UID Tags:

Upon physical receipt of UID tags, the licensee must confirm receipt in the CCTT-Metrc system. UID tags must be documented as “received” before they can be assigned to cannabis or cannabis products in the CCTT-Metrc system.

Assign and Apply UID Tags to Cannabis and Cannabis Products:

All temporary licensees who are in physical possession of commercial cannabis or cannabis products at the time your annual license is issued, you will need to assign and apply UID tags to all commercial cannabis and cannabis products physically located on your licensed premises. If you are not a temporary licensee at the time your annual license is issued, all cannabis or cannabis products produced after the effective date of your annual license must have a UID tag assigned and reported in the CCTT-Metrc system.

Inventory control - We utilize Meadow Point of Sale software. This point of sale system integrates with the state mandated METRC software. When the cannabis product is received in the dispensary, the inventory manager performs a physical count of the products. The distributor performs a second count so that all products are verified. Once this is complete, the inventory manager signs off on the manifest and generate an internal invoice in the POS. This internal invoice includes the information from the UID of the product that has come from the licensed distributor that is already in the track and trace system.

The products are then taken into the vault for storage and organization. Additional bar-coding is performed at this time if needed. All products are organized by category in the vault, where back stock is stored. Our Dispensary will have product

(a sample) that will be displayed on the sales floor for every item that we will sell. The item will be displayed in a manner that it is tethered to the display case so that the product cannot be stolen. There will be no cannabis products that are readily accessible for diversion.

Adjacent to our cashiers we will have a fulfillment area that will be behind glass windows, so that the cashiers can turn to the window and pick up the order that has been requested by the customer. The fulfillment area is a limited access room in which the inventory associates will have an allocated daily amount of cannabis products to sell. Every morning, SOP is to verify all inventories that are in the fulfillment area. All items are counted and validated that there is an inventory of 10 items per product in the fulfillment space. Any item that is in need of a refill is requested by the associate to the inventory manager where the manager pulls the product from the vault stock, logs it into the system and refills the fulfillment center. All staff when they enter and exit the facility will be issued see through bags to ensure that there is no diversion from staff.

Applicant will only utilize the track and trace program approved by the State of California METRC.

All medical marijuana products shall undergo strict and frequent inventory checks to ensure that all product is accounted for and to prevent theft.

Flowers: All cannabis flower shall come from the distributor, tested for category three testing compliance, child proof, tamper proof, and bar-coded. No pesticides or insecticides prohibited by federal, State or local law for fertilization shall be used on any marijuana or cannabis products stored, processed, or distributed on the property. Applicant shall comply with all applicable federal, State, and local laws regarding use and disposal of pesticides and fertilizers and shall only transact with vendors who are similarly compliant.

The type of strain and amount received shall be inputted into MMJMenu before any product is removed or sold. When the flower is ready in MMJMenu for sale, three ounces shall be weighed and placed for sale in the dispensary showcase and the remaining stock shall remain in a secured locked and video monitored area.

Regular inventory shall be taken every night and morning to track the inventory of the flowers. Only samples shall be available to be viewed by the general public. All inventor and product sold shall be take from the secured area and packaged in child proof exit bag prior to be given to the customer.

Non-flower medical marijuana: shall also be tested by a state approved laboratory for Category Three compliance and packaged in tamper-evident sealed by a state licensed distributor prior to arriving to the dispensary. Inventory shall be taken by the same unit that the products are sold in.

Once a week assigned staff shall check that the MMJMenu inventory of remaining product(s) matches what is actually

recorded on the premises. In the event of a discrepancy between the amount of medical marijuana product(s) accounted for in MMJMenu system and present on site, the inventory can be tracked back through each restocking of the sample held in the dispensary and through each transaction to locate the time frame of the discrepancy and assist in identifying the error. The managerial inventory system, MMJMenu inventory system and camera surveillance shall be set up to locate the precise moment of error in the case of an inventory discrepancy.

DELIVERIES

To initiate a medical cannabis delivery a new patient under Proposition 64 ("adult use") must submit both a valid government issued ID establishing they are over 21 and for medical patients they must provide a state issued identification and physician's recommendation for the use of medical marijuana. In the case that the delivery address is different from the address on the ID, the patient will also need to provide proof of residency at the delivery address (utility bills and lease agreements are established acceptable proofs of residency.) Any exceptional circumstances shall be handled by the lead manager, no other employee will be authorized to accept a proof of residency that deviates from the guidelines. Pictures of patient documents may be sent via email or text message to Applicant. Pictures must be clear and of good quality and all of the print must be legible to applicant's staff. The entire ID or document must be visible in the picture, no close-ups, unless a second picture with the entire entity is also provided.

After a matching ID and physician's recommendation have been received and, if necessary, proof of residency has been established, applicant's staff will verify, using the information printed on the document, that the medical recommendation is valid. Upon successful verification

For each delivery run, the applicant driver will receive a printed page with the name, phone number, and address for each patient in the order to be delivered. The page will not contain any other information about the order. The medication ordered will not be listed on this page and the page will contain no reference to Applicant or cannabis dispensary services. Each page with delivery names and addresses will be immediately returned to the applicant's lead manager upon return to the store and shredded by the end of the business day.

The following measures shall be taken to ensure that each delivery order is given directly to the customer whose identification has been verified by applicant's staff: First time customers must present the same ID and paperwork that was submitted to and verified by the applicant's office so the driver can determine that the physical person matches the ID prior to any transaction of cash or product. Returning delivery customers must continue to present a picture ID with each purchase.

GoSwift is a state approved the tracking program that the applicant shall utilize to create METRC compliant transportation manifests for each delivery run and real time location tracking of delivery drivers.

Every delivery vehicle shall be inspected to ensure that it meets the following requirements: vehicle carry proof of insurance at or above the legal requirement of California; vehicle must be capable of locking during transportation (car doors must lock and compartment containing medical marijuana shall lock as well); and vehicle must be capable of maintaining adequate climate control to preserve product(s).

STATE TESTING REQUIREMENTS

All cannabis products sold at the retail facility shall come from a licensed distributor. The distributor is to accept and quarantine all cannabis products from third-party cultivators, manufacturers and or edible companies. The distributor shall contact a state certified testing laboratory. The lab shall come to the distribution facility, collect a random batch sample and lock down the remaining inventory. The samples shall be tested for all requirements under category three testing, including pesticides, microbial and hard metals. If the batch passes testing, then it will be sent to the dispensary.

Once it arrives to the dispensary all cannabis and cannabis products entering into our inventory must undergo an inspection by designated senior dispensary staff prior to release into inventory for retail sale. Our staff will confirm that the cannabis or cannabis product meets the state regulatory standards for the laboratory testing of cannabis and cannabis products by verifying the Certificate of Analysis issued by a state licensed Testing Laboratory for each item of cannabis or cannabis product received. Our staff will verify the batch numbers on the Certificate of Analysis and the shipping manifest match those of the cannabis goods. All cannabis and cannabis products entering our dispensary inventory shall only be obtained from licensed distributors and be accompanied by a shipping manifest. Any cannabis and or cannabis products that do not meet these criteria shall be rejected.

EMPLOYEE TRAINING:

All personnel who are on-boarded to our Dispensary will go through a REDACTED training course that covers REDACTED [redacted] Management staff is enrolled in the REDACTED that offer a wide variety of courses on REDACTED [redacted]. These courses are taken consistently in order to have the most professionally trained staff. Please see Examples of Recent Trainings Completed by Our Management Cannabis Retail Dispensary Employees attached at the end of this document. In addition Phloem shall recruit from its current staff at their other locations that have experience, knowledge and deep understanding of dispensary operations to launch the Pasadena location.

All staff who work in the dispensary room shall be familiar with the uses and effects of each type of medical marijuana that is stocked. Sales staff shall be familiar enough with dosages and types of marijuana to make recommendations to patients as to the most suitable medication for his or her needs. Before working in the dispensary room every Sacred Vibes staff member shall complete a rigorous training course and pass a test proving competence in the various methods and dosing of medical marijuana consumption. Dispensary room staff shall understand the general tendencies of sativa and indica, but also the possibility of strains acting outside of these standards, especially with hybrids. Staff shall be educated on each particular flower strain carried by Sacred Vibes and Sacred Vibes shall maintain a record of employee and patient reactions to the specific medical marijuana products the business carries to further educate patients about potential effects.

CUSTOMER EDUCATION

We only hire personnel with real cannabis experience, which are vetted out during our interview and application process. All our personnel receive educational materials on each of our products along with regular customer service training to ensure they can answer almost any question a customer may have. This is especially important for first time customers. While educating new customers, we educate them on the correct dosage based on their experience level. Our experienced personnel are highly knowledgeable about the effects of various products and strains so our customers can receive strains and or products that are most suitable for their needs. Our products are displayed in a way that aids customers in quickly identifying our various products. We also train our personnel to recommend the correct variety by asking questions like what sensation they would want to feel and what's their budget. Most of our products have brochures available we offer to send home with customers if they are not ready to make a decision. We also use a company called SEED that has interactive kiosks for educational purposes which will be accessible for all customers. (http://www.getseed.io/)

MARKETING

We will be using the premier branding, marketing and consulting firm Green Holdings Group which is located in Alta Dena, CA and owned by applicant Freddy Sayegh. Our marketing efforts will focus primarily on digital media. Our digital marketing encompasses all web-based and electronic communication between our dispensary, our brands and our audience through social media, search engines and websites. Our advertising is location based and cannabis specific such as targeted ads on Weedmaps and Leafly. Both our products and our dispensary also have profiles listed on cannabis directory websites such as Weedmaps. Traffic is also driven to our dispensary by our brands Instagram accounts who let their followers know where they can find their products. Digital marketing also allows us to engage with existing customers, thereby increasing our customer retention. Attract new customers by using REDACTED. When a customer visits your store, it's your responsibility to deliver satisfactory customer service, and capture them as a repeat customer. REDACTED (when permitted) placed near the dispensary are very effective at driving in foot traffic. Furthermore, Green Holdings has

exclusive rights with REDACTED which will implement an array of marketing and branding techniques. In addition applicant will also REDACTED.

COMMUNITY BENEFITS

Plan of Action for Contributions Community Sustainability

In our pursuit to be an intimate and integral, yet beneficial part of the city will be through education and integration; not only educating community stakeholders on the benefits of the industry in their communities but, actively demonstrating it.

A major portion of this education and outreach will directly relate to the impact it can have to it beneficiaries as well as correcting the problems and damage caused by the war on drugs and engaging open participation within those specific neighborhoods.

That is why our goal in the City of Pasadena is to not only hard mark revenue generated from our business towards direct philanthropy and local social impact causes but, be a driving mechanism in local Educational Awareness Campaigns, Advocacy Efforts to raise funds with and for local charities, provide resources towards youth activity and higher learning and be an overall local support system.

A big part of our strategy is also building the community and being proactive in hiring local. Local employment, maintaining a diverse yet inclusive workforce and strategically partnering with other local licensees will be among our top priorities of not only maintaining the sense of integrity we will build in the City of Pasadena but, the residents and local economy.

Building living wages with quality services within the city will strengthen development and allow those residing to be directly impacted by the benefits creating trust and accountability.

Throughout the years our founding team has been directly involved in heading social outreach and philanthropy causes providing not only the dedication, expertise and network to execute these efforts but, the overall effect of consistently building and strengthening the community moral and accountability of businesses in it.

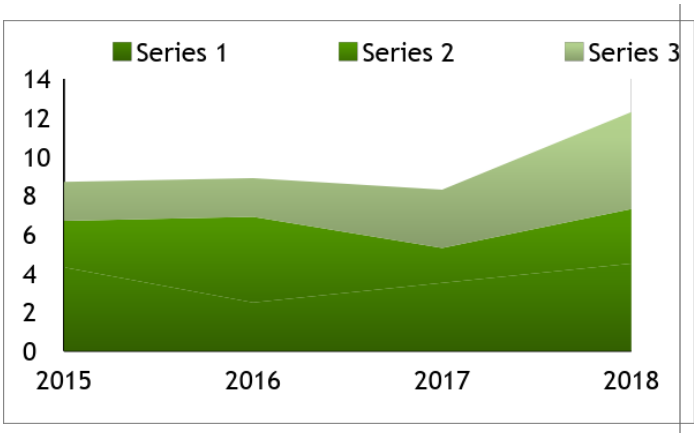
Green Holdings have been working with Weed 4 Warriors program a veterans based program that helps veterans in prevention of suicide, support groups and reduction of psychotropic medication in exchange for the use of cannabis and cannabidiol. Green Holdings also works with 420 Support Group and Cannakids. Applicant will also partner with local charities, community centers and foundations to contribute hard marked revenue, raise money for holiday and year-round activities, extend resources for Youth Education and drug education programs as well as bringing in outside partners to boost these actions.

A percentage of revenue will be allocated to a Social Impact Fund of which we will use to support community activity, events and outreach in addition to funding of local charities, organizations, programs, events and gatherings and youth education.

In collaboration with other local business owners, and members of the local chambers of commerce and community foundations and programs, we will look for local activities that may need not only financial support but, supplemental resources such as volunteers, media attention, catering, entertainment etc.. This will be in conjunction of allocated resources within our pre-

Executing these year-round efforts of community benefit and growth will be able to stimulate local development and economy allowing the city of Pasadena to use tax generation towards local programs that need subsidizing while boosting levels of attraction, liveliness and moral of community members, stakeholders and residents. This in turn creates a more stimulated economy and attraction of

Feasibility of Impact



While legalization has seen some hard points, the brightest spot in legalization has been the decrease in amounts of pre-adults and adolescents use of the drug.

The chart on the left demonstrates how post legalization in states that did not conduct awareness and education ,Oregon being the lightest green, to the masses before presenting the decision saw a dramatic increase inappropriate usage of the drug by adults and minors, which was abnormal and unprecedented compared to states such as Colorado, the middle green column which will always see an increase and decrease due to population growth.

This outline is to simply graph the problems due to the local and state industries inability to work with communities to educate them in regards to product safety but, public health, safety and awareness.

Our goal through divesting generated income, resources and network to local programs creates and proliferates them while allowing the city to appropriate funding from the General Fund and City Coffers to pay for improvements and awareness of other local issues and problems directly related to the community.

This allows more opportunity for affordable and sustainable growth, no longer just a burden to the municipal oversight and authority but, in the hands of a socially responsible community including the members, residents and stakeholders.

PRODUCT OFFERINGS

Marijuana infused edibles (edibles): includes baked goods, candy, drinks, and other types of food infused with medical cannabis for consumption. Edible products shall contain items specifically infused with varying types of cannabis (sativa, indica, or hybrid) and, whenever possible, shall list the specific strain of marijuana used for infusion. Sold per unit or package.

Marijuana infused products for topical application (topicals): lotions, gels, ointments, etc… infused with medical marijuana for topical application to the skin. Topicals will come in a range of THC and CBD levels and are useful remedies for localized pain relief, muscle soreness, tension and inflammation. Sold per unit.

Dried marijuana buds for smoking (flowers): flowers are classified as either indica, sativa, or a hybrid of both indica and sativa strains. All medical marijuana flowers shall be listed by their specific strain(s) i.e., Sour Diesel, Blue Dream, LA Kush, Master OG etc. Sold by weight in ounces or grams. Flowers are consumed by smoking.

Extracted marijuana oil (concentrates): Oils extracted in various methods make up the concentrates. Some concentrates are packaged to be portioned into doses by the patient and may be smoked through an appropriate apparatus as needed and some concentrates are packaged into cartridges that may be smoked through a vaporizer or vape pen.

Paraphernalia: items and tools used for smoking marijuana products. Applicant shall carry vaporizers (vape pens), pipes, and rolling papers and rollers. Applicant shall stock adequate paraphernalia so that patients may purchase the necessary equipment to consume their medical marijuana upon reaching an appropriate location.

PRODUCT PROCUREMENT

Applicants As the owners of currently licensed cultivation, manufacturing and distribution state licensed facilities all of which are in compliance and good-standing with relevant state and local agencies we will procure high-quality, licensed products from our own companies.

Applicant owns and operates multiple licensed cultivation facilities, manufacturing facilities and edible kitchens. In addition due to applicants long history and relationships with other brands and companies they will continue to utilize those relationships in ensuring the best available products will be readily available to the Pasadena market.

SECTION 3: NEIGHBORHOOD COMPATIBILITY & ENHANCEMENT

EXTERIOR DESIGN CONCEPT:

Phloem Management will retain the services of PENTAGRAM for all design concept integration a world renowned design firm. Pentagram does work in graphic design, identity, architecture, interiors and products. They have designed packaging and products for many well known companies. They have also developed identities for Sam Labs, Citibank, United Airlines, and The Co-operative brand in the UK, winning a silver award from the Design Business Association. In 2007, they updated the visual identity of Saks Fifth Avenue. In addition to graphic design work, the firm has partners working on architectural projects such as the Harley-Davidson Museum, the Alexander McQueen shops, *Citibank* interiors, the *Adshel* and Clear Channel buildings in London, a host of private residences including the Phaidon Atlas of Architecture listed Bacon Street Residence, the new London club Matter, along with a host of interior, retail, restaurant and exhibition projects. Pentagram was hired to redesign the American cable television program, *The Daily Show*'s set and on-screen graphics in 2005. Outside of commercial work, Pentagram also does pro bono work for non-profit organizations. On 12 February 2008 the President's Council on Service and Civic Participation awarded Pentagram the "DNA" award for incorporating pro bono services into business culture. Recently, Pentagram has done work for the One Laptop per Child. Pentagram supports up-and-coming artists. Angus Hyland was a notable early supporter of illustrator Christine Berrie, and organized a display of her work at the Pentagram main office. On 13 December 2010, the Big Ten Conference unveiled their new logo designed by Pentagram. In 2016 Pentagram were commissioned to design the packaging for the Pink Floyd box set, *The Early Years 1965–1972*. The set was released in November 2016.

If you take a look at the evolving Cannabis industry, you will notice that it is over-represented by cannabis leaves and green crosses. The Crown Brand is different. It is Clean, Professional and Iconic, all pointing to the cannabis industry’s future. No more cliché cannabis leaves and crosses; instead a more professional upscale look and feel. With our experience we will be able to integrate security measures so as to not be noticeable by the customers of the public.

DESIGN CONCEPT INTEGRATION

Applicant along with its design firm Pentagram will assess the surrounding area upon securing of a lease. Wee will assess the community, the architecture, the surrounding business and incorporate . The City of Pasadena has rich history and world renowned historic building and architecture in addition to micro communities including Old Town Pasadena, South Lake, Washington District, Lincoln Development and its financial district. We know that our proposed location is a prime retail location in The City of Pasadena and

that will attract a wide range of consumers, and a retail cannabis store like ours will fit very well into the existing and evolving community landscape. With the continuous development of social economy, cities and the community are more

demanding for architecture. Some advanced design concepts will be gradually applied to the design of buildings. Under the concept of sustainable development, building integration design has also been widely used to promote the rapid development of architectural design. Integrated design concepts and sustainable development concepts play an important role to meet the city's requirements.

INTEGRATION OF SECURITY MEASURES

Applicant will work with Pentagram Design team in its physical design and concept so as to not be overly noticeable by the customers and public. Applicant will utilize new technology in discrete camera systems including hidden in flood lights, fire alarms and other discrete products. Applicant will use Crime Prevention through Environmental Design (CPTED) principles to ensure that the look and feel of the facility will enhance the surrounding environment, rather than detract from it, while ensuring there are no potential blind spots for intruders to conceal themselves. Applicant will create security measures that respect our neighbors and community and do not violate what we ourselves would not want to see or hear in our backyards.

AIR QUALITY/ODOR CONTROL

Our comprehensive approach to odor control after building and running licensed cannabis shops includes a combination of the (1) Physical Orientation and Setup of the building to address or minimize the typical odor levels which are found in a retail cannabis facility, and (2) Targeted Remediation procedures to address any unusual odor causing activities outside of the norm. Generally, in the context of the cannabis industry, retail dispensaries experience the lowest risk of odor issues, by far, because state regulations require 100% of products to be fully packaged in their final tamper-proof and child-resistant packaging PRIOR to coming to the facility. However, proper odor controls and mitigation are required to create an optimal environment for customers, and an optimal experience in the immediate neighborhood.

PHYSICAL ORIENTATION AND SETUP

Our approach to pre-mitigation of the facility includes the installation of a complete air filtration and ventilation system equipped with carbon filters.

- Max Fan HO 14" (3343 cfm fan)
- Can 150 Filter 2" carbon bed
- Max 2500 pre-filter (emergency replacements)

TARGETED REMEDIATION

In those situations where an unusual level of odor is detected, whether resulting from a broken package, or otherwise, we engage in various mitigation approaches depending on the source of the odor. These range from physical cleanings to odor neutralizing products. Examples:

- Spot cleaning of the facility

• Odor neutralizers applied
• Fans with charcoal/carbon filters

Applicant utilizes this method at all of its licensed cultivation facilities as required by the City of Adelanto, CA.

SECTION 4: SECURITY PLAN

Staff shall store all personal belongings besides a cell phone in lockers to be installed in a restricted access room. Management shall be present whenever an employee has access to the lockers. While applicant's shall permit cell phone use for the purposes of researching customer needs, no photography by staff or customers shall be permitted in the dispensary room.

Cameras shall be installed so that every area of the building's interior and exterior can be easily monitored from both the manager's office and the reception desk. In addition to frequent monitoring of video surveillance, Applicant will employ REDACTED to patrol the outer grounds and facilitate prompt entry and exit from the premises. New customers will be instructed by the reception staff not to open their sealed bag of purchase until exiting the premises.

All cannabis products will be kept behind a locked door. Customers may only gain access to product after identification and age have been verified by an employee at the reception desk responsible for lobby and outside security (including monitoring the camera feed from the parking lot to ensure that customers enter and exit promptly and that no consumption of cannabis product occurs on site)

Entry to the sales room and product showcases will be restricted to a limited number of customers, to be determined by the number of sales employees present. The reception employee shall monitor the number of customers into the product showcase room and ensure that if occupancy reaches capacity, additional customers shall be admitted only as existing customers leave. Each sales employee shall assist one customer at a time.

The dispensary sales room, in which all customer financial transactions take place, shall contain only a small sample of total stock. Only samples of cannabis product will be displayed in showcases behind glass and inaccessible to customers, who may request items to be retrieved by the member sales staff assisting them. Customers will be assigned to the next available sales person. Any requests for a specific employee will be denied. Although customers may inspect items one at a time, all items for purchase are to be retained in a separate secured room and only an authorized employee will be able to fulfill the order outside the presence of the customer and not provided to the customer until the financial transaction is complete, at which time the purchase will be bagged and sealed with a printed label.

No more than two units of each cannabis topical product, 4 units of each type of edible, and three ounces (3oz) per strain of cannabis flowers shall be present in the showcase room at all times.

Applicant shall implement sufficient security measures to both deter and prevent unauthorized entrance into areas containing medical marijuana or medical marijuana products and theft of medical marijuana or medical marijuana products. Applicant shall implement the following security measures in accordance with our security plan including (a) preventing individuals from remaining on the premises if they are not engaging in activity expressly related to the operations of the business; (b) establishing limited access areas accessible only to authorized personnel; (c) storing all medical marijuana and medical marijuana products in a secured and locked room, safe or vault, and in a manner as to prevent diversion, theft, and loss, except for limited amounts of marijuana used for display purposes, samples, or immediate sale.

Applicant will install and maintain a fully operational digital video surveillance and camera recording system that monitors all areas of the property including but not limited to all points of ingress and egress at the business, all points of sale within the business, all areas within the business where medical cannabis products are displayed for sale, and all limited access areas within the facility.

Applicant shall hire ADT to install surveillance cameras and alarms, and to maintain the security system. The contract for ADT services to Applicant is included in this application.

The ADT system contracted with Applicant satisfies the following requirements: (a) Captures a full view public right-of-ways and any parking lot under the control of applicant's dispensary; (b) Is of adequate quality, color rendition and resolution to allow the ready identification of any individual committing a crime anywhere on or adjacent to the exterior of the property (type of camera, resolution, etc...); (c) Records and maintains for a minimum of 30 days. Video surveillance and recording records shall be held in confidence by all employees and for legitimate law enforcement activity to resolve criminal activity (employees shall sign confidentiality agreement); (d) Applicant shall assume responsibility for ensuring that all surveillance equipment is properly functioning and maintained. Applicant shall work with ADT to promptly resolve any abnormalities or disruptions to the surveillance system. The ADT surveillance and alarm system shall produce a playback quality that is suitable for viewing and the equipment is capturing the identity of all individuals and activities in the monitored areas. (e) At each point of sale location, camera coverage shall enable recording of the customer(s) and employee's facial features with sufficient clarity to determine identity; (f) the system shall be capable of recording all monitored areas in any lighting conditions and will be housed in a designated, locked, and secured room or other enclosure with restricted access to authorized employees. Roman Ruiz and Rachel Rodriguez shall keep a current list of no more than two managers with authorized access to the surveillance system on the premises;

(h) All exterior camera views shall be continuously recorded 24 hours a day and interior camera views shall be recorded between the hours of 7:30am and 9:30PM. Between the hours of 9:30PM and 7:30am motion sensors shall run and cameras will resume recording should any movement be detected.

Applicant shall install and use a safe for storage of any processed cannabis and cash on the property when the business is

closed to the public. The safe shall be incorporated into the building structure or securely attached thereto. In the case of marijuana products to be stored in temperatures that require refrigeration or freezing Applicant shall utilize a refrigerated and a frozen storage container, both of which shall be securely locked and attached to the building.

Applicant will contract for an alert and burglar alarm system to be installed and monitored twenty-four (24) hours a day and seven (7) days a week by ADT. The contract with ADT, including company contact information and is included in this application and the City shall be notified within seventy-two (72) hours of any change in monitoring company.

Applicant shall retain and maintain REDACTED and patrol from Powerhouse Security Services,, licensed by the State of California, generally located at an indoor guard station, during all hours of operation.

Confidential Information Security: plan to ensure patient and customer confidentiality. All staff shall receive training about the vital necessity of maintaining absolute confidentiality of all customer information (including name, address, phone number, email, health information, and any other information provided to any member of applicant's staff.) Every employee shall sign a waiver verifying that they both understand and agree to uphold applicant's confidentiality requirements.

Cash handling and audits: Applicant's manager shall perform a sweep of all cash from the till in the dispensary room every two hours starting at 10:00am with the last sweep occurring after the final transaction of the day, approximately 8:00PM. Cash drops shall be made multiple times a day to the bank to ensure that no more than REDACTED is on the premises at any time.

Applicant will use security teams to monitor and patrol the outer security perimeter defined as the borders of the property. The perimeter would also be defended by natural barriers (landscaping), clearly marked with Private Property signage, and surveillance technology. The intermediate security perimeter will include all building, storage facilities, offices and parking lot. This intermediate perimeter would be secured by CCTV and security guards. The interior of the facility will constitute the inner perimeter – the proprietary zone. Walls, doors and windows become a critical layer of security. Access control to this vital zone is mandatory, requiring a visible employee identification program. All aspects of security technology have application to the inner perimeter.

SECURITY EXPERIENCE

POWERHOUSE SECURITY
409 East Woodbury
Altadena, California 91001

We will be working with the locally owned and operated security firm: Powerhouse Security.
License Number -PRIVATE PATROL PERMIT ("PPO") 119828 bonded and licensed by Bureau of Security and Investigative Services of California State.

Working with our highly-experienced security advisors: a private security firm that specializes in deploying a Program of state-of-the-art security protocols. The Program will anticipate and address potential security threats, adhere to local, state and federal security regulations, including Crime Prevention Through Environmental Design (CPTED), and- most importantly protect the applicants employees and neighborhood. In addition to developing and implementing top-notch security practices,

All security personnel and employees hired by Applicant' will go through specific training prior to assignment within this facility. All security personnel will be licensed in accordance with California law with respect to their specific designation and duties. Applicant', will develop specific standard operating procedures (SOP's) for all security personnel, as it relates to the following:

- Hiring and Proficiency Standards Training & Identification Standards
- Employee Management & Oversight
- Background Screening & Drug Testing
- Random Drug Testing

Applicant Partners will have a minimum of three security guards on site during all hours of operation and one guard on station 24/7. Our guards are required to obtain certifications for various skills training as defined by the California Bureau of Security and Investigative Services as described in Division 7 of Title 16 of the California Code of Regulations. Depending on the specific roles, responsibilities of the guards and their years of experience, all guards must successfully complete training on a subset of the following courses:

Our security will leverage their many years of military experience in austere high-threat environments, including many years doing Diplomatic Security at U.S. Embassies around the world. Applicant's security guards, will build relationships with local, state and federal law enforcement agencies to offer complete transparency into our operations and ensure compliance with all local, state and federal laws.

BACKGROUND CHECKS:

We will conduct criminal background checks on all applicants for employment, including LiveScan. We will also require work references and use an outside company to conduct these searches and ensure we are fully compliant with all Fair Credit Reporting Act (FCRA) law.

EMPLOYEE SAFETY EDUCATION:

GENERAL PREVENTION MEASURES

• Continuously monitored, multiple point facility entry / exit.

• All deliveries and shipments will be monitored by security personnel.

• Employees will be trained on proper procedures for opening and closing facilities.

• Employees will be trained on proper handling of access control devices.

• Transportation of medical cannabis will follow irregular delivery routes and times.

• Employees will be trained in proper handling of cash if needed.

• CCTV systems will be designed to capture all individuals entering and exiting Applicant' facilities from multiple angles to prevent shielding of identity with hats, hoods or other articles of clothing.

• All facilities will be well maintained both inside and out.

• All facilities will be effectively lit, both internally and externally.

• Utilization of the CPTED principles for our environmental design.

• Employees will be trained on anti-diversion techniques.

• Employees will be trained on how to identify suspicious persons or activity.

• Employees will be trained on how to respond to a variety of emergency situations from active shooter to general medical emergencies.

INCIDENT RESPONSE MEASURES

• Employee training is critical to properly respond to key incidents, including but not limited to:

o Robbery

o Burglary

o Intruders in Applicant' Project

o Threats of violence in Applicant' Project

Assaults

o Weapons possession

o Civil

o Flood – natural or manmade

o Proper use of panic, burglar alarms

o Cyber security

o Proper response when law enforcement or first responders arrive at facility

o Incident reporting

COMMUNICATION WITH LAW ENFORCEMENT

Applicant in conjunction with the security manager will maintain a list of non-emergency police department contacts for all facilities. The security manager must maintain regular communication with each law enforcement contact, advising of any

changes in security policies or procedures. Applicant', through its Security Team, will maintain strong partnerships with local, state and federal law enforcement agencies. The security manager shall engage these agencies to support the security mission through:

1. Proactive meetings
2. Observation patrols
3. Rapid response to incidents
4. Collaborative training and exercise

EMPLOYEE THEFT REDUCTION MEASURES

See Standard Operating Procedures Above

CASH MANAGEMENT PLAN

We do accept debt and credit cards for our customers convenience this also allows for 35% of our sales to be cashless transactions. We also have armored car service pickup. All cash is stored in TL-30 rated safes in limited access area rooms fully monitored by video surveillance and 24hr security guards. We keep only small amounts of cash in the register to reduce losses, using a safe into which large bills and excess cash are placed.

We also use a company called baker for a reward system to promote reward and cashless sales (www.trybaker.com)

Quality and detail of cash management plan, including cash counting/reconciliation procedures, cash storage, cash transport, deposit into a banking institution (if any), and employee training.

Retailer makes any bank deposits often and during business hours. Retailer Security is to not establish a pattern when going to make a bank deposit, to take different routes at different times during the day. Security Personnel may be used to escort Retailer making the bank deposit, at the discretion of Retailer.

PRODUCT ACCESS PROTOCOLS

VISITOR SECURITY AND ACCESS - EMPLOYEES / VISITORS / VENDORS AND LIMITED ACCESS AREAS

All means of access control (keys, alarm codes, access control cards, etc.) in applicant's facility will be strictly controlled and monitored to ensure that no unauthorized persons can access the facility. Applicant has established multiple layers of security to prevent any and all breaches, including closed circuit television, access control readers, alarm systems, vaults, etc. Employees will be issued access control credentials, limiting their admission to only the areas of the facility their job description requires.

FACILITY ACCESS - EMPLOYEES / VISITORS / VENDORS

Applicant has developed a comprehensive policy regarding all Identification Badges and Visitor Policies, which aim to prevent unauthorized access to any applicant facility. The security measures outlined in this document will ensure an environment that effectively precludes unauthorized access to any applicant medical marijuana facility. The policy clearly defines the employees, contractors and visitors who will have authorized access to individual facilities as well as designated limited access areas.

The security measures outlined in this document have been put in place to protect all employees and facilities from potential harm, both physically and financially. Applicant' has identified specific personnel who are authorized to distribute permanent and temporary identification badges, along with the stringent process they must adhere to in doing so. Identification badges are assigned based on category of employees, vendors, contractors, and visitors. Identification badges are further restricted based on necessary areas of access, with different levels of access clearly defined for ease of identification by employees and security personnel. The policy clearly defines provisions for displaying identification badges and the handling of lost or stolen badges. Only authorized visitors will be allowed access to the 5895 Washington Blvd. Partners, LLC' Park. All vendors, contractors, and visitors must obtain permission to enter a Applicant' facility 24 hours prior to arrival and, upon arrival, will be issued an identification badge. Visitors will be escorted at all times by a designated tenant or Applicant' employee.

PRODUCT DELIVERY

All deliveries and shipments will be monitored by security personnel. Delivery drivers are instructed to first enter the premises without the cannabis goods to inform security they have arrived. We then check the driver's ID and having him/her sign in. The surrounding exterior premises is monitored via video camera prior to exiting the premises. Upon exiting the premises the surrounding area is scanned for safety hazards prior to any goods being removed from the vehicle. Upon receiving the go-ahead from security the delivery driver removes the goods from the vehicle and is accompanied by our security into our dispensary. The driver and the goods enter a secure access controlled area of the premises for inspection of goods and the corresponding manifest.

ARMORED VEHICLE

Powerhouse Security owns their own armored vehicle which will handle all cash deliveries and deposits.

